



FULL YEAR RESULTS

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	30 June 2016 Kshs'000	30 June 2015 Kshs'000
Turnover	19,743,564	18,723,250
Operating profit	674,034	754,630
Other income	120,588	107,709
Finance costs	(49,146)	(40,242)
Foreign exchange losses	(11,075)	(186,402)
Profit before taxation	734,401	635,695
Taxation	(225,585)	(205,914)
Profit for the year from continuing operations	508,816	429,781
Profit for the year from discontinuing operations	-	192,085
Profit for the year	508,816	621,866
Attributable to:		
Owners	327,031	399,082
Non-controlling interest	181,785	222,784
	508,816	621,866
Basic and diluted earnings per share		
From continuing operations	Shs 4.32	Shs 3.70
From discontinuing operations	Shs -	Shs 1.57
	Shs 4.32	Shs 5.27

CONSOLIDATED STATEMENT OF FINANCIAL POSITION FOR THE PERIOD ENDED

	30 June 2016 Kshs'000	Restated 30 June 2015 Kshs'000
ASSETS		
Non-current assets	3,380,021	3,182,410
Current assets	5,819,762	5,452,719
Total Assets	9,199,783	8,635,129
EQUITY AND LIABILITIES		
Share capital	378,535	378,535
Reserves	5,318,194	4,940,085
Non-current liabilities	971,166	1,014,344
Current liabilities	2,531,888	2,302,165
Total Equity and Liabilities	9,199,783	8,635,129

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE PERIOD ENDED

	30 June 2016 Kshs'000	30 June 2015 Kshs'000
Operating profit before working capital changes	991,873	815,177
Changes in working capital	(129,102)	(146,925)
Net Cash Generated from operations	862,771	668,252
Tax paid	(196,477)	(162,802)
Net Cash from operating activities	666,294	505,450
Net Cash used in investing activities	(470,858)	(15,426)
Net Cash (used in)/from financing activities	(290,017)	(140,484)
Increase in cash & cash equivalents	(94,601)	349,540
At the start of the period	1,192,705	846,767
Effects of exchange rate changes	4,255	(3,602)
At the end of period	1,102,359	1,192,705

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

Year ended 30 June 2016	Equity attributable to equity holders Sh'000	Non- controlling interest Shs '000	Total Sh'000
At start of year			
-as previously stated	3,389,349	1,965,930	5,355,279
-measurement period adjustment		(36,659)	(36,659)
Profit for the year	327,031	181,785	508,816
Other comprehensive income for the year	(9,253)	(4,982)	(14,235)
Total comprehensive income for the year	317,778	176,803	494,581
Dividend paid to shareholders	(75,707)	-	(75,707)
Dividend paid to non - controlling interests	-	(40,765)	(40,765)
Acquisition of subsidiary	-	327,262	327,262
At end of year	3,631,420	2,065,309	5,696,729

COMMENTARY

Turnover and profit for the year from continuing operations increased by 5.4% and 18.4% respectively. Operating profit was impacted by higher distribution and administrative expenses, attributable to the Group's strategic investments in ICT system upgrades, human resources and brand equity building. Increased focus on marketing and advertising is expected to yield positive gains to our market presence across all segments.

Production of maize flour and porridge declined compared to the prior year as a result of the shortage of quality maize grain in the second half of the year. Imported wheat prices were favourable, driven by good harvests in Europe; the local wheat harvest improved compared to prior year, allowing prices to remain stable. Quality finger millet was in short supply throughout the year.

Towards the end of the financial year, there was a welcome exemption of VAT on certain materials used in the manufacture of animal feeds in Kenya. This has assisted in keeping feed prices stable, despite inflationary pressures. Soya meal, a significant input, remains Vatable however, making it impossible for farmers to realise the full benefit of VAT exemption on raw materials.

The Group introduced Fugo® Kienyeji poultry feeds during the year and made additions to the Amana® range with basmati and pishori rice.

Silo rehabilitation, new silos and grain intake projects commenced during the year are nearing completion; these will improve on in-bound supply chain efficiency and reduce costs.

The Board is pleased to recommend the payment of a first and final dividend of Sh 1 per share, subject to approval by the shareholders at the Annual General Meeting to be held on 1 December 2016.

Subject to the shareholders' approval at the Annual General meeting, the Register of Members will be closed for one day from the close of business on 1 December 2016. Dividend will be paid on or about 11 January 2017 to the shareholders registered in the books of the Company as at the close of business on 1 December 2016.

The Board is also pleased to announce the appointment of Ms Shilpa Haria to the Board of Directors with effect from 29 September 2016.

By order of the Board

W Jumba
Company Secretary
30 September 2016